

Chapter 9. Investing in Investment Funds

[1.](#) The sales charge is universally stated as a percentage of the selling price, which includes the charge, making it appear lower than if applied to net asset value. We consider this a sales gimmick unworthy of this respectable industry.

[2.](#) *The Money Managers*, by G. E. Kaplan and C. Welles, Random House, 1969.

[3.](#) See definition of “letter stock” on p. 579.

[4.](#) Title of a book first published in 1852. The volume described the “South Sea Bubble,” the tulip mania, and other speculative binges of the past. It was reprinted by Bernard M. Baruch, perhaps the only continuously successful speculator of recent times, in 1932. That was locking the stable door after the horse was stolen. Charles Mackay’s *Extraordinary Popular Delusions and the Madness of Crowds* (Metro Books, New York, 2002) was first published in 1841. Neither a light read nor always strictly accurate, it is an extensive look at how large numbers of people often believe very silly things—for instance, that iron can be transmuted into gold, that demons most often show up on Friday evenings, and that it is possible to get rich quick in the stock market. For a more factual account, consult Edward Chancellor’s *Devil Take the Hindmost* (Farrar, Straus & Giroux, New York, 1999); for a lighter take, try Robert Menschel’s *Markets, Mobs, and Mayhem: A Modern Look at the Madness of Crowds* (John Wiley & Sons, New York, 2002).